

The Bond Side Has a Claim

Treasuries now pay more than at any point since 2007, which makes this morning a question of allocation rather than direction.

THE READING

The 10-year Treasury closed at 5.110%, up 15.5 basis points and the highest since 2007. The 5-year crossed 5% for the first time in the same span, after a \$70bn auction tailed by 3.1bp. Bond volatility, measured by the MOVE index, rose 21.5% to 95.45.

Equities took it more calmly. The S&P 500 fell 0.75% to 7,706.03 and sits 1.42% below its high. The VIX rose less than a point, to 15.17. The damage showed underneath: the Russell 2000 closed on its low at 2,838.66, below the floor of Hedgeye's range, and high-yield credit finished three cents off its 52-week low.

The bond market is expressing fear. The stock market is expressing a reluctance to believe it.

WHAT WISDOM WOULD SAY

Benjamin Graham, in *The Intelligent Investor*, gave the defensive investor a rule for this. Hold no less than a quarter and no more than three quarters in common stocks, start near half, and move within that range as the relative prices of stocks and bonds change.

The rule does not ask anyone to forecast yields. It asks them to notice what each side is offering, and to let that set the mix rather than the headlines. For much of the period after 2008, bonds offered too little for the rule to bite. That has changed. A 13-week bill now pays 4.136% with almost no price risk, and the 10-year pays more than it has since 2007.

Graham would not say this makes stocks a sale. He would say the bond side now has a claim it did not have, and that a mix set when cash paid nothing is answering an old question.

The other half of his rule matters as much. He moved in steps, inside fixed limits, because he did not trust himself to time the turn. There is no better reason to trust anyone else's timing this morning.

THE RISK IT JUSTIFIES

In practice this argues for three things. Review the stock-bond mix against today's yields rather than last year's, and let rebalancing move it toward the bond side in steps, not in one trade. If adding duration, stagger it: the 10-year closed above the 5.09 ceiling of Hedgeye's range, so the trend in yields is still up, and the short end pays while waiting. And take no new index risk on a session when credit, small caps and bond volatility all broke together.

It argues against reaching for yield in high-yield credit, which is breaking down rather than offering value, and against buying the small-cap close on the low, since Russell futures traded only 81% of average volume and nothing capitulated.

The answer softens if the 10-year closes back below 5.09 and high-yield credit reclaims the floor of its range. It hardens if the S&P closes below 7,536.

*If you were building the portfolio from nothing at these yields,
would it look like the one you hold?*